

Financial Posting of Inventory in Dynamics 365 for Finance and Operations

1. Introduction:

D365 F&O posts financial vouchers at various transaction stages. This document details inventory financial postings and the associated posting types for the following transaction source:

- Production order posting
- Sales order postings
- Purchase Order postings
- Inventory Journal postings

Furthermore, this document will cover the posting types for standard cost and moving average variance accounts, including scenarios for their use.

2. Production order posting

- During picking list (Material Consumption and Route Journal)

Posting type	Debit	Credit	Account name
Estimated cost of materials consumed, WIP	X		Production WIP-Materials
Estimated cost of materials consumed		X	Raw Material Inventory
Estimated cost of indirect cost consumed, WIP	X		Production WIP-Overhead
Estimated indirect cost absorbed		X	Absorbed Material Handling Cost

- Post Report as Finished

Posting type	Debit	Credit	Account name
Estimated manufactured cost, WIP		X	Production WIP-Materials
Estimated manufactured cost	X		Finished Goods Inventory

Estimated cost of indirect cost consumed, WIP	X		Production WIP-Overhead
Estimated indirect cost absorbed		X	Absorbed Indirect Labor Cost

- **End production order**

Posting type	Debit	Credit	Account name
Estimated manufactured cost, WIP	X		Production WIP-Materials
Estimated manufactured cost		X	Finished Goods Inventory
Estimated cost of materials consumed, WIP		X	Production WIP-Materials
Estimated cost of materials consumed	X		Raw Material Inventory
Estimated cost of indirect cost consumed, WIP		X	Production WIP-Overhead
Estimated indirect cost absorbed	X		Absorbed Indirect Labor Cost
Estimated indirect cost absorbed	X		Absorbed Material Handling Cost
Manufactured cost, WIP		X	Production WIP-Clearing
Manufactured cost	X		Finished Goods Inventory
Cost of materials consumed, WIP	X		Production WIP-Clearing
Cost of materials consumed		X	Raw Materials Inventory
Cost of indirect cost consumed, WIP	X		Production WIP-Clearing
Indirect cost absorbed		X	Absorbed Indirect Labor Cost
Indirect cost absorbed		X	Absorbed Material Handling Cost

3. **Sales Order postings**

- **During Packing slip**

Posting type	Debit	Credit	Account name
Cost of units, delivered		X	Inventory A/c
Cost of goods sold, delivered	X		Deferred COGS

- **During Sales Invoice**

Posting type	Debit	Credit	Account name
Cost of units, delivered	X		Inventory A/c
Cost of goods sold, delivered		X	Deferred COGS
Cost of units, invoiced		X	Inventory A/c
Cost of goods sold, invoiced	X		COGS A/c
Revenue		X	Revenue A/c
Customer	X		AR Trade A/c
Sales Tax Payable		X	Tax payable A/c
Discount	X		Discount A/c

4. **Purchase Order postings**

- **During Product receipt - Stock Item**

Posting type	Debit	Credit	Account name
Cost of purchased materials received	X		Inventory A/c
Purchase, accrual		X	Accrual account

- **During Purchase Invoice - Stock Item**

Posting type	Debit	Credit	Account name
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Cost of purchased materials received		X	Inventory A/c
Purchase, accrual	X		Accrual account
Cost of purchased materials invoiced	X		Inventory A/c
Vendor Payable		X	AP Trade A/c
Tax	X		Sales Tax receivable A/c
Discount		X	Discount A/c

- **During Product receipt - Non-Stock Item/ Procurement Category**

Posting type	Debit	Credit	Account name
Purchase expenditure, un - invoiced	X		Expense A/c
Purchase, accrual		X	Accrual account

- **During Purchase Invoice - Non-Stock Item/ Procurement Category**

Posting type	Debit	Credit	Account name
Purchase expenditure, un-invoiced		X	Expense A/c
Purchase, accrual	X		Accrual account
Purchase expenditure for expense	X		Expense A/c
Vendor Payable		X	AP Trade A/c
Tax	X		Sales Tax receivable A/c
Discount		X	Discount A/c

- **During Prepayment Invoice**

Posting type	Debit	Credit	Account name
Prepayment	X		Prepaid expense

Vendor Prepayment Payable		X	AP Prepayment trade A/c
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5. Inventory Journal postings

- Positive Inventory Adjustment or Stock Count

Posting type	Debit	Credit	Account name
Inventory Receipt	X		Inventory A/c
Inventory expenditure, Profit		X	Inventory expenditure, Profit A/c

- Negative Inventory Adjustment or Stock Count

Posting type	Debit	Credit	Account name
Inventory Issue		X	Inventory A/c
Inventory expenditure, loss	X		Inventory expenditure, loss A/c

- Transfer Order Shipment

Posting type	Debit	Credit	Account name
Inter Unit Payable		X	Clearing A/c
Inventory Receipt	X		Inventory A/c

- Transfer Order Receive

Posting type	Debit	Credit	Account name
Purchase expenditure, un-invoiced		X	Expense A/c
Purchase, accrual	X		Accrual account

- Movement journal - Positive Inventory Adjustment

Posting type	Debit	Credit	Account name
Inventory Receipt	X		Inventory A/c
Offset A/c in Movement Journal		X	It depends upon when to use E.g. Go- live inventory upload

- **Movement journal - Negative Inventory Adjustment**

Posting type	Debit	Credit	Account name
Inventory Issue		X	Inventory A/c
Offset A/c in Movement Journal	X		It depends upon when to use E.g. Go- live inventory upload

6. **Standard cost Variance posting types and use**

Posting type	Account type	Description
Purchase price variance	Profit and Loss	This account is used when there is a variance between the purchase price and standard cost on a purchase order.
Inventory cost revaluation	Profit and Loss	This account is used when a new costing version is activated for a standard cost item to revalue the on-hand inventory.
Cost change variance	Profit and Loss	This account is used when there is a difference in standard costs between sites, or when an item is returned and there is a change between the original standard cost and the current standard cost for a product.
Production lot size variance	Profit and Loss	This account is used when there are differences between the bill of materials (BOM) calculation basis and the actual quantity for the production order cost calculation.
Production price variance	Profit and Loss	This account is used when there are price differences between the estimated cost and the actual cost for a production order.
Production quantity variance	Profit and Loss	This account is used when there are quantity differences between the estimated cost and the actual costs for a production order.

Production substitution variance	Profit and Loss	This account is used when there is unexpected consumption on a production order.
Rounding variance	Profit and Loss	This account is used when there is a rounding difference when the production costs are calculated from the standard costs.

7. Moving Average cost variance posting types and use

Posting type	Account type	Description
Price difference for moving average	Profit and Loss	This account is used when there is a difference in the cost between the receipt and the invoice and item has Moving average costing method
Cost revaluation for moving average	Profit and Loss	This account is used when you adjust the moving average cost of a product

Hope this will help you.

Cheers :)